

# Before Ten

*The statement has not landed. A working-capital decision still has to be owned.*

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*Morning of 7 October 2026 · Prepared before the 10:00 IST Monetary Policy Statement.*

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*Mahanadi Alloys Limited and Arjun Mehta are labelled composites for the classroom. They are not real issuers or officers. Every rate, print and poll below is from the public record and is dated. This pack does not report a decision the Governor has not yet read.*

## 1. The decision on the desk

It is 7:40 a.m. on Wednesday, 7 October 2026. Governor Sanjay Malhotra is scheduled to deliver the Monetary Policy Statement at 10:00 IST. The post-policy press conference is at noon. The Reserve Bank of India home page, consulted on this morning, still shows the policy repo rate at 5.25 percent, the standing deposit facility at 5.00 percent, and the marginal standing facility and the bank rate at 5.50 percent. The cash reserve ratio is 3.00 percent. The statutory liquidity ratio is 18.00 percent. Those figures are the last published settings. They are not a forecast of what the Monetary Policy Committee will do in the next two hours.

Arjun Mehta is chief financial officer of Mahanadi Alloys, a labelled composite mid-cap supplier of commercial-vehicle forgings. He has a chair who wants a sentence for the street, a treasurer who wants a call to the lead bank, and an audit-committee chair who wants to know what the firm will not book before the speech. Mehta has about eighty minutes until the statement. He will not have the statement inside those eighty minutes.

The assignment is not to predict the Governor. The assignment is to decide which risk the firm owns at noon: the risk of locking too early, the risk of waiting too long, or the risk of speaking in a range and refusing to refresh guidance until pass-through is visible on the sanction letter.

## 2. What the public record actually said

A Reuters poll conducted from 18 to 28 September 2026 asked 61 economists what the committee would do at the 5–7 October meeting. Thirty-five of them — nearly 60 percent — expected a 25 basis-point increase, taking the repo rate from 5.25 percent to 5.50 percent. That would be the first increase since February 2023. A slim majority in the same poll, 29 of 53, expected at least one further hike by December. The poll is a distribution, not a vote of the committee. Twenty-six of the 61 economists were not in the hike camp that Reuters reported as the majority.

The inflation print that moved the poll is also on the record. On 14 September 2026 Reuters reported India's annual retail inflation at 4.82 percent in August, against 4.45 percent in July and against a poll expectation of 4.80 percent. Food inflation was 5.95 percent, from 5.52 percent in July. An economist estimate cited in that report put core inflation near 4.2 percent, from 3.86 percent. August was inside the 2–6 percent tolerance band and was the third consecutive month above the 4 percent medium-term target. Reuters also reported that minutes of the August meeting showed some policymakers, including Governor Malhotra, open to a hike if inflationary pressures broadened.

The consensus was not unanimous on the meeting. Aditi Nayar, chief economist at ICRA, told Reuters on 14 September that her base case was still a hike in December 2026, if the rise generalised and crude stayed elevated. Upasna Bhardwaj of Kotak Mahindra Bank, quoted in the same piece, said the odds of action in October were increasing significantly, and that she still saw scope for 50 to 75 basis points of hikes by the committee. Union Bank of India, reported by The Hindu BusinessLine on 5 October as the three-day meeting opened, expected 25 basis points in October and a path toward 5.75–6.00 percent over the rest of FY27, with hawkish guidance. BusinessLine, in the same report, put Brent near 101.26 dollars a barrel at the time of writing. That is a reported level, not a forecast this case adopts.

The committee has held the repo rate at 5.25 percent for four consecutive meetings after a cumulative 125 basis points of cuts in 2025, as BusinessLine and the Economic Times reported on the opening of this meeting. A hike today would be a stance reversal. A hold would not be outside the poll's distribution. Neither outcome may be written into the briefing as a fact before 10:00.

### 3. The tape on the morning of the statement

Markets have not waited for the microphone. The RBI home page, citing FBIL, showed the rupee at 96.4348 per US dollar as at 13:00 on 6 October 2026. Sterling was at 127.3756, the euro at 108.0729. On the same page the 6.94 percent government security maturing in 2036 was marked at 7.2150 percent, the 6.36 percent GS 2031 at 6.9511 percent, and the 91-day treasury bill at 5.5199 percent. Call rates on 5 October were shown in a range of 4.30–5.25 percent. Base rates published on that page ran from 8.40 to 10.00 percent. Overnight MCLR ran from 7.80 to 8.00 percent. Term deposit rates above one year ran from 6.00 to 6.75 percent. Those are banking-system ranges, not Mahanadi's sanction.

Liquidity was being absorbed, not injected. The Reserve Bank's press release of 6 October 2026, covering money-market operations as on 5 October, reported overnight segment volume of Rs 7,30,002.71 crore at a weighted average rate of 5.07 percent. Call money was Rs 12,896.20 crore at 5.09 percent. Triparty repo was Rs 5,25,952.65 crore. Market repo was Rs 1,85,538.41 crore. A variable-rate reverse repo that day took Rs 2,00,050 crore at 5.24 percent, with a second reverse-repo leg of Rs 10,142 crore at the same rate. The standing deposit facility took Rs 1,81,091 crore at 5.00 percent. Marginal standing facility use was Rs 199 crore at 5.50 percent. Net liquidity injected from the day's operations was minus Rs 3,91,084 crore. Including outstanding operations, net liquidity injected was minus Rs 5,30,095.82 crore. Absorption of that size is the operating fact. The sign matters more than the speech.

On 6 October the Bank also said it would conduct an overnight variable-rate reverse repo auction under the liquidity adjustment facility on 7 October — decision day. The treasurer who tells the board that nothing happens until ten has not read the operations release.

| Item                       | Reading                    | As of / source                       |
|----------------------------|----------------------------|--------------------------------------|
| Policy repo                | 5.25%                      | RBI home page, morning of 7 Oct 2026 |
| SDF / MSF / Bank Rate      | 5.00% / 5.50% / 5.50%      | RBI home page, same morning          |
| CRR / SLR                  | 3.00% / 18.00%             | RBI home page                        |
| August CPI                 | 4.82% (July 4.45%)         | Reuters, 14 Sep 2026                 |
| Food / core (est.)         | 5.95% / ~4.2%              | Reuters, 14 Sep 2026                 |
| Poll: +25 bp in October    | 35 of 61 economists        | Reuters, 18–28 Sep 2026              |
| Further hike by December   | 29 of 53                   | Same Reuters poll                    |
| USD/INR                    | 96.4348                    | FBIL, 13:00 on 6 Oct 2026            |
| 6.94% GS 2036              | 7.2150%                    | RBI market page                      |
| 91-day T-bill              | 5.5199%                    | RBI market page                      |
| Overnight volume, 5 Oct    | Rs 7,30,002.71 cr at 5.07% | RBI press release, 6 Oct 2026        |
| VRRR, 5 Oct                | Rs 2,00,050 cr at 5.24%    | Same release                         |
| Net LAF, incl. outstanding | –Rs 5,30,095.82 cr         | Minus is absorption                  |

Table 1. Public readings used in this case. None of these is the 7 October decision.

### 4. The composite firm

Mahanadi Alloys is constructed for the classroom. It is not a listed company. Students must not search for it, and must not treat the figures below as disclosures. The figures are round so the interest arithmetic can be checked by hand.

Last reported year in the teaching file: revenue Rs 2,400 crore, EBITDA margin 11 percent, so EBITDA of Rs 264 crore. Profit after tax Rs 96 crore. Gross debt Rs 920 crore. Of that, Rs 440 crore is a five-year term loan fixed at 8.10 percent until March 2028. Rs 480 crore is working-capital lines — cash credit and a short-term rupee loan — priced at repo plus a spread of 2.15 percent on Rs 300 crore and repo plus 2.40 percent on Rs 180 crore. Both floating lines reset with a 90-day lag. The next reset window opens on 15 October 2026. Average utilisation over the last quarter was 86 percent. Cash and equivalents were Rs 70 crore, of which Rs 40 crore sits in liquid mutual funds and Rs 30 crore is trapped against a GST refund the firm has been chasing since June.

The firm imports alloy scrap equal to about 18 percent of raw material, unhedged beyond 45 days. Raw material in the teaching file is 62 percent of revenue. A board-approved net-debt-to-EBITDA ceiling of 2.5 times currently stands near 3.2 times on gross debt and about 3.0 times on net debt, using the teaching EBITDA. The ceiling is a board policy in this file, not a covenant breach, but the chair has asked for the bridge anyway. The street model the firm last walked through, at the August call, assumed a hold at 5.25 percent through FY27 and interest expense of Rs 74 crore. Mehta's rule, written into the treasury policy in 2024, is that guidance moves only when a contractual rate moves or when the board expressly accepts a scenario as the base case. A poll is not a contractual rate.

## 5. The arithmetic, before anyone speaks

A 25 basis-point increase, fully passed through on the entire Rs 480 crore floating book, is Rs 1.20 crore of annualised interest. A quarter of that is Rs 0.30 crore. Against profit after tax of Rs 96 crore, it is about 1.3 percent of earnings. It is not a survival event. It is a guidance event, because the August model was a point. If only the utilised portion reprices — 86 percent of Rs 480 crore, or about Rs 413 crore — the annualised hit is about Rs 1.03 crore. If the bank passes through with a lag to 15 October, FY27 captures roughly three quarters of the annualised amount on an October move, and a full year only from a January reset. The honest range for FY27 interest, holding volumes flat, is therefore not a point.

Hold, and the August model of Rs 74 crore survives, subject to utilisation. Plus 25 basis points from the October reset, passed through, and FY27 interest lands nearer Rs 75 crore. Plus 50 basis points — not the centre of the September poll, but inside the path Union Bank sketched and inside the 50–75 basis-point scope Kotak’s economist had described — and the bridge still moves by under Rs 2 crore if a second hike lands by December and both resets catch it. None of these is a forecast of the committee. They are the columns Mehta can put in front of the audit committee without pretending to know the vote.

The rupee is a second column, not a footnote. At 96.43, a further 1 percent move on the unhedged 45-day import book is a gross-margin conversation, not an interest conversation. Imported scrap at 18 percent of raw material on a Rs 1,488 crore materials bill is about Rs 268 crore a year, or about Rs 33 crore over 45 days. One percent of that window is about Rs 0.3 crore. Small next to the interest line in a leveraged firm, and easy to over-narrate. Next to a Rs 1.20 crore rate swing it is the same order of magnitude, which is why the columns must stay separate. Mehta should not let the chair collapse the two. Interest is a contractual reset. The currency is an open exposure with a hedge policy. Mixing them produces a sentence that sounds decisive and cannot be audited.

## 6. Three choices before ten

Choice A — Lock half. Call the lead bank before 9:30 and ask for a three-month fixed rate on Rs 240 crore, half the floating book, at whatever spread is still quoted before the statement. The gain is a written price. The cost is that the price will embed the bank’s own hike probability, so the firm may pay for a hike that does not arrive. The treasury policy allows a hedge of up to 50 percent of floating working-capital lines without a fresh board approval. Above that, Mehta needs the chair.

Choice B — Wait for noon. Do not request a quote until after the press conference. Optionality is preserved. So is crowding. If the statement is hawkish, every treasurer who waited will call between 12:15 and 1:00, and the spread on offer at 7:40 will not be the spread on offer at 12:20. Waiting is a position. It is not the absence of a position.

Choice C — Speak in a range, and stop. Send the audit committee a one-page note before ten. State the interest columns. State that street guidance will not be refreshed until the statement is out and the lead bank has confirmed pass-through in writing. Do not call the outcome. Do not let the investor-relations draft say “in line with consensus.” Consensus is 35 of 61, not a contract. This choice uses the treasury policy as written. It will annoy the chair who wanted a single number.

A fourth choice — telling the exchange, or the wire, that the firm “expects” 5.50 percent — is not on the table. Mehta does not have a vote on the committee. Publishing a point forecast of the repo rate from a non-financial issuer, on the morning of the statement, is a communications decision with no information advantage.

## 7. What accounting will not let you book

Ind AS 109 does not remeasure a floating-rate rupee working-capital line because a poll moved or because a Governor is about to speak. Until the contractual reset, interest accrues at the contractual rate. The carrying amount does not jump at 10:00. What can change at 10:00 is expected interest for management reporting, the earnings bridge in the investor deck, and — if the firm has hedge documentation — the effectiveness story on any rate swap it actually holds. Mahanadi, in this file, holds no rate swap. A verbal “we are locked in spirit” is not a

hedge.

Disclosure judgment is separate from measurement. If the board adopts a new base case before the statement, the audit-committee note should say so in one sentence and should cite the policy clause that allows it. If the board does not adopt a new base case, the August guidance stands, with a sentence that the guidance is subject to the reset on 15 October. Silence is also a disclosure choice. The case asks students to write the sentence, not to hide behind the microphone.

## 8. What the statement will not settle

Even after 10:00, several facts will remain outside the statement. The lead bank's pass-through date is a credit-document fact, not a monetary-policy fact. The utilisation rate for the next quarter is an operating fact. The GST refund is a working-capital fact that no repo decision repairs. The unhedged import book does not close because the committee hiked or held. Students who end the note with "therefore we wait for the Governor" have answered a different question from the one on the desk.

The noon press conference can change the path even if the rate decision matches the poll. A 25 basis-point hike with a neutral stance is not the same earnings bridge as a 25 basis-point hike with a sentence that further withdrawal of accommodation is likely. Union Bank's published path to 5.75–6.00 percent is one house's view. The press conference is where the committee, through the Governor, either leans toward that path or refuses it. Mehta's note should leave a line for that sentence. It should not draft the sentence in advance and then call it analysis.

## 9. Questions for the classroom

First. Which choice do you sign at 7:40, and which clause of a normal treasury policy authorises it? If you invent a clause, mark it as invented.

Second. Compute FY27 interest under a hold, under plus 25 basis points from 15 October, and under plus 25 in October plus 25 in December. Show utilisation at 86 percent and at 100 percent. Do not use a single point estimate in the subject line of the note.

Third. The chair asks for "the number the street is using." What do you reply, in four lines, using the 35-of-61 poll without turning it into a fact?

Fourth. Where does AI help this morning, and where does it become a liability? Drafting the three columns is a fair use. Drafting a fake quote from the Governor is not. Write the control.

Fifth. Keep the rupee off the interest bridge. State the FBIL level and the time stamp. State the 45-day unhedged window in rupees. Stop.

## 10. A note on method

This case was closed before the 10:00 IST statement on 7 October 2026. If you are reading it after the Governor has spoken, do not retrofit the decision into the facts section. The teaching point is the briefing under uncertainty, not the ex-post score of the poll. A student who "knew" the outcome because they read the evening paper has not done the assignment. Mark the facts as they stood at preparation: repo still published at 5.25 percent, poll at 35 of 61, August CPI at 4.82 percent, rupee at 96.4348 as at 13:00 on 6 October, liquidity absorbed.

AI generates the first draft of the three columns. Data informs the poll, the print, the bond and the rupee. Finance measures twenty-five basis points on four hundred and eighty crore. Accounting verifies what may not be booked before the reset. Human judgment decides which risk the chair will own at noon.

## 11. Exhibit A — teaching debt file

The schedule below is a classroom construction. It is not taken from any filing. Students should reproduce it in a spreadsheet and then break one assumption at a time. The fixed term loan does not reset with the repo. The two working-capital lines do. Cash trapped in a GST refund is not free cash for a prepayment.

| Facility         | Principal | Price                 | Reset                |
|------------------|-----------|-----------------------|----------------------|
| Term loan        | Rs 440 cr | 8.10% fixed           | March 2028           |
| Cash credit      | Rs 300 cr | Repo + 2.15%          | 15 Oct / 90 days     |
| Short-term rupee | Rs 180 cr | Repo + 2.40%          | 15 Oct / 90 days     |
| Floating book    | Rs 480 cr | See lines             | Hedge cap 50%        |
| Utilisation      | 86%       | Last-quarter average  | Teaching assumption  |
| Cash             | Rs 70 cr  | Rs 40 cr liquid funds | Rs 30 cr GST-trapped |

*Exhibit A. Composite debt file for Mahanadi Alloys. Not a real issuer.*

At the current published repo of 5.25 percent, the cash-credit line accrues at 7.40 percent and the short-term rupee line at 7.65 percent. A 25 basis-point hike, if passed through in full at the next reset, moves those coupons to 7.65 percent and 7.90 percent. The term loan does not move. Students who apply 25 basis points to the entire Rs 920 crore have double-counted the fixed book and should be marked down.

Weighted floating coupon today is  $(300 \times 7.40 + 180 \times 7.65) / 480 = 7.49$  percent, before utilisation. On utilised principal of about Rs 413 crore the cash interest run-rate is about Rs 31 crore a year from the floating book alone, plus Rs 35.6 crore from the fixed term loan, before fees. The August guidance of Rs 74 crore is consistent with that order of magnitude once fees, commitment charges and a full year of the term loan are included. Students should reconcile to Rs 74 crore before they add a hike. A bridge that does not tie to the last public guidance is not a bridge.

## 12. Exhibit B — FY27 interest bridge

Hold volumes flat. Apply the reset only to utilised floating principal unless a row says otherwise. The August guidance of Rs 74 crore already includes the fixed term loan and the floating book at 5.25 percent. The increments below are additions to that guidance, not a restatement of the whole interest line from zero. Round to the nearest crore in the note to the chair. Keep the unrounded working in the appendix.

| Scenario                       | What has to be true                 | Add to Rs 74 cr                           |
|--------------------------------|-------------------------------------|-------------------------------------------|
| Hold                           | Repo stays 5.25%. No pass-through.  | Nil. August model stands.                 |
| +25 bp, full book, from 15 Oct | Hike, full pass-through, 100% use.  | About Rs 0.9 cr in FY27.                  |
| +25 bp, 86% utilised           | Same hike, utilisation unchanged.   | About Rs 0.8 cr in FY27.                  |
| +25 Oct and +25 Dec            | A path, not the poll centre.        | About Rs 1.4–1.6 cr if both resets catch. |
| Lock Rs 240 cr at +15 bp       | Bank quotes a premium before 10:00. | Certain cost even if the committee holds. |

*Exhibit B. Increments are teaching arithmetic on the composite book. They are not a forecast of the 7 October decision.*

The lock row is the one students skip. A bank that quotes a three-month fixed at 15 to 20 basis points through the current floating coupon is selling the firm the poll. If the committee holds, that premium is a realised cost on Rs 240 crore — about Rs 0.4 to 0.5 crore over a quarter. If the committee hikes 25 and the floating book resets, the lock saved a few basis points on half the book and cost the option on the other half. Write both sides. A hedge without a cost is a slogan.

## 13. How pass-through actually works

Indian working-capital lines do not all reprice on the morning of the statement. In this teaching file the contract says the rate resets on the 15th, off the repo published that morning, plus the contractual spread. A hike at 10:00 on

the 7th therefore does not hit the October accrual in full. It hits from the 15th. Students who book a full-year effect inside the December quarter have compressed the calendar. The treasurer's job on decision morning is to read the reset clause, not the headline.

Pass-through is also a credit conversation. Some banks move the spread even when the contract says repo plus a fixed margin, by invoking a review clause. Mehta's file has no such clause written in. If the lead bank reviews the margin on the afternoon of the 7th, that is a new negotiation, not monetary-policy transmission. The note to the audit committee should separate the two. Transmission of the repo is mechanical if the clause is clean. A margin review is a relationship fact and may need the chair.

External benchmark rules for retail and MSE loans are a different regime. Mahanadi, in this file, is a corporate borrower on bilaterally priced working-capital lines. Do not import a retail transmission table into the note. If a student does, ask them to cite the clause in the firm's own sanction letter. There isn't one beyond repo plus spread. That is the point.

## **14. Liquidity is already a decision**

The 6 October press release on operations as on 5 October is the most under-read page in this pack. Overnight volume of Rs 7.30 lakh crore at a weighted average of 5.07 percent tells you the money market was trading through the policy rate, not above it. The variable-rate reverse repo took Rs 2,00,050 crore at 5.24 percent — one basis point under the repo. The standing deposit facility took Rs 1,81,091 crore at 5.00 percent. Net, the Bank absorbed. Including outstanding operations, absorption was about Rs 5.30 lakh crore.

A CFO who has been told that a hike is coming because liquidity is tight has been told a story this tape does not support. Absorption of this size is surplus, not scarcity. The hike case in the poll is an inflation case, a crude case, and a "minutes showed some members were open" case. It is not a "the call market is starving" case. On 5 October the call market was Rs 12,896 crore inside a Rs 7.30 lakh crore overnight complex, and the range went down to 4.30 percent. Write that into the note if someone on the board says the system is tight. The system, on the printed operations, was long.

The overnight VRRR scheduled for 7 October, announced on the 6th, is the Bank continuing to operate while the committee meets. It is not a signal students should over-read. It is evidence that the liquidity desk does not pause for the statement. Neither should the firm's cash desk. Parking Rs 40 crore of free cash in liquid funds overnight is a routine decision. It does not require a view on the repo.

## 15. What the chair will ask, and clean answers

“Are we going to be hiked?” The poll says 35 of 61 economists expected it, as of 28 September. The website this morning still says 5.25 percent. I will not upgrade the poll into a fact.

“What does it cost us?” One point two zero crore annualised on the full floating book. About one crore on last quarter’s utilisation. About Rs 0.8–0.9 crore inside FY27 if the reset is 15 October and there is no second move. The fixed term loan does not move.

“Should we lock?” The policy lets me lock half without you. I will not lock the other half on a poll. If you want the other half locked, that is a board decision and I need it before I call.

“What do we tell the street?” Nothing new before noon. The August guidance stands, with a sentence that it is subject to the 15 October reset. I will not say “in line with consensus.”

“Can finance use the model the analyst bot drafted?” Yes, as a draft of the three columns. No, as a quote from the Governor, and no, as a journal entry. Accounting signs the entry. I sign the note.

## 16. A skeleton the student must complete

To: Audit Committee. From: CFO. Time: before 10:00 IST, 7 October 2026. Subject: Interest guidance — range, not a call.

Paragraph one. What is known. Repo last published at 5.25 percent. Statement due at 10:00. Press conference at noon. Cite the page, not the memory.

Paragraph two. What the poll said, with the date and the split. 35 of 61. 29 of 53 for a further move by December. Name at least one house that did not have October as the base case. ICRA’s Aditi Nayar, quoted on 14 September, still had December.

Paragraph three. The book. Rs 480 crore floating, reset 15 October, utilisation 86 percent. The columns. No subject-line point estimate.

Paragraph four. The decision requested. Lock half, wait, or speak in a range. One of them. The clause that authorises it.

Paragraph five. What will not be done. No exchange filing that forecasts the repo. No remeasurement under Ind AS 109. No mixing of the rupee into the interest bridge. A blank line for the rate, to be filled after 10:00 by hand.

## 17. Where students usually go wrong

They treat the Reuters headline as the decision. The headline is the majority of a poll taken between 18 and 28 September. It is several days old on the morning of the statement. Inflation news since the 14 September print is not in this case, and should not be invented.

They apply the hike to gross debt. The term loan is fixed. Only Rs 480 crore floats. They book the full-year effect in one quarter. The reset is the 15th. FY27 catches three quarters of an October move if volumes stay flat, not four.

They call absorption a tightening. The operations release shows the Bank taking money out of the system. Scarcity is the opposite sign. They ask an AI draft to confirm the outcome. A model that writes “the RBI hiked” before 10:00 is wrong even if, later in the day, the committee does hike. The timestamp is the control. This pack is stamped before the statement on purpose.

## 18. Teaching note

Use eighty minutes. Ten minutes on the public record, read aloud from Table 1 so the dates land. Fifteen minutes on Exhibit A and Exhibit B, with students computing the increments on paper. Twenty minutes on the three choices, forcing each group to name the cost of the choice they like. Fifteen minutes on the accounting boundary. Ten minutes on the skeleton note. Ten minutes on what they will write in the blank line after 10:00, and why that line was blank.

The debrief should not be who got the rate right. If the session is held after the statement, put the actual decision on the board only at the end, and ask which choice still looks sound given the pass-through the firm has or has not received. A lock that looked dear against a hold can look cheap against a hawkish press conference, and the reverse. The grade is on the bridge, the separation of columns, and the sentence the student refused to sign.

Suggested close. AI generates. Data informs. Finance measures. Accounting verifies. Human judgment decides. Then send them out to fill the blank only after they have heard the Governor, not before.

Grading weights for the written note: public-record accuracy and dates, 25 percent; interest arithmetic and the refusal to hike the fixed book, 25 percent; choice and its cost, 25 percent; accounting boundary and the blank line, 25 percent. A note that forecasts the repo rate in the subject line caps at a pass, however clean the arithmetic.

## 19. Worked arithmetic appendix

Twenty-five basis points is 0.25 percent, or 0.0025 in decimal. Rs 480 crore times 0.0025 = Rs 1.20 crore a year. Students who brief Rs 12 crore have moved the decimal and treated 25 basis points as 2.5 percent. Mark the unit before you mark the prose.

On 86 percent utilisation the principal that reprices is about Rs 413 crore. Times 0.0025 is about Rs 1.03 crore a year. A quarter of the full-book effect is Rs 0.30 crore. Against profit after tax of Rs 96 crore, the full-year effect is about 1.3 percent of earnings. It remains a guidance event because the August model was a point, not because the firm is at risk.

FY27 capture of an October reset is about three quarters of the annualised amount: Rs 0.90 crore on full utilisation and about Rs 0.77 crore at 86 percent. A second 25 basis-point hike in December, catching the January reset for one quarter of FY27, adds about Rs 0.30 crore on the full book. The two-hike path the chair can hold in one hand is still under Rs 2 crore.

Lock premium. Fifteen basis points on Rs 240 crore for a quarter is 240 times 0.0015 times 0.25 = Rs 0.09 crore. That is the certain cost of buying the poll on half the book for ninety days. Put it next to the Rs 0.30 crore quarterly exposure on the full book. The lock is not free. It is also not large. The reason to hesitate is process, not materiality: the policy allows half without the board, and the poll is not a contractual rate.

Finance measures. The measure is the decimal. AI will happily draft either number. The CFO who signs the note is the one who checked the zero.

## Sources

*Reserve Bank of India home page, current policy rates and FBIL exchange rates, consulted on the morning of 7 October 2026. Policy repo 5.25 percent. USD/INR 96.4348 as at 13:00 on 6 October 2026. Government security and treasury-bill marks as published on that page.*

*Reuters, Pranoy Krishna, “RBI to raise interest rates to 5.50% in October as inflation broadens: Reuters poll,” 28 September 2026. Poll window 18–28 September. 35 of 61 economists; 29 of 53 for at least one further hike by December.*

*Reuters, “India inflation rises to 4.82% in August, strengthening case for rate hike,” 14 September 2026. Food 5.95 percent. July CPI 4.45 percent. ICRA’s Aditi Nayar quoted on a December base case. Kotak’s Upasna Bhardwaj quoted on rising odds of October action and scope for 50–75 basis points of hikes.*

*Reserve Bank of India, press release, 6 October 2026, “Money Market Operations as on October 05, 2026.” Overnight volume, VRRR, SDF, MSF and net liquidity figures as printed in that release. Separate RBI notice of an overnight VRRR on 7 October 2026.*

*The Hindu BusinessLine, 5 October 2026, “RBI MPC begins 3-day meeting today amid expectations of first rate hike since 2023.” Four holds after 125 basis points of cuts in 2025. Union Bank path. Brent near 101.26 dollars at the time of that report.*

*Economic Times, 7 October 2026, preview: Governor Sanjay Malhotra to speak at 10:00 IST; press conference at noon. Repo still described as unchanged at 5.25 percent pending the announcement.*

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